

Multiple Choice

1. **Answer:** C

Options: A) The demand curve will shift to the left, decreasing the price of multigrained bread.; B) The supply curve will shift to the left, increasing the price of multigrained bread.; C) The demand curve will shift to the right, increasing the price of multigrained bread.; D) The supply curve will shift to the right, decreasing the price of multigrained bread.

Note: The demand curve will shift to the right because the positive health information about multigrained bread increases consumer interest and willingness to purchase it, leading to a higher demand and subsequently raising its price.

2. **Answer:** D

Options: A) Household income falls.; B) Technology used to produce gasoline improves.; C) The price of subway tickets and other public transportation falls.; D) The price of crude oil, a raw material for gasoline, rises.

Note: An increase in the price of crude oil, which is a key input in the production of gasoline, raises the overall production costs for gasoline, leading to a decrease in supply and consequently an increase in its price in a competitive market.

3. **Answer:** D

Options: A) GDP increases and the price level decreases.; B) GDP decreases and the price level increases.; C) GDP stays the same and the price level increases.; D) GDP increases and the price level increases.

Note: Cutting taxes increases consumers' disposable income, leading to higher consumer spending, while increased military spending injects additional funds into the economy, both of which contribute to an increase in real GDP and upward pressure on the price level due to heightened demand.

4. **Answer:** A

Options: A) changes in the price level must be proportional to changes in the money supply.; B) changes in the money supply have no effect on the price level.; C) changes in the price level have no effect on the money supply.; D) the equation is invalid.

Note: In the equation of exchange, represented as $MV = PQ$, if the velocity of money (V) and output (Q) are constant, any change in the money supply (M) directly results in a proportional change in the price level (P).

5. **Answer:** C

Options: A) GDP.; B) GDP per capita.; C) Real GDP per capita.; D) Actual GI)P per capita.

Note: Real GDP per capita is the correct answer because it adjusts the total economic output of a country for its population size, providing a more accurate measure of the average economic well-being and standard of living of its citizens.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: The statement is false because a decrease in the price of aluminum, a key input in bicycle production, typically lowers production costs, potentially leading to lower bicycle prices and increased demand for bicycles rather than a decrease.

7. **Answer:** False

Options: A) True; B) False

Note: According to Keynesian analysis, a decrease in the money supply would typically lead to lower spending and aggregate demand, resulting in a decrease in the price level rather than an increase.

8. **Answer:** True

Options: A) True; B) False

Note: The statement is true because global warming leading to the elimination of snow would drastically reduce the demand for skiing as a recreational activity, resulting in ski instructors losing their jobs and facing structural unemployment as their skills become less relevant in the changing job market.

9. **Answer:** False

Options: A) True; B) False

Note: Business cycles are a regular occurrence in capitalist economies, characterized by periodic fluctuations in economic activity, including expansions and recessions.

10. **Answer:** False

Options: A) True; B) False

Note: Budget surpluses and higher discount rates typically restrict government spending and reduce the money supply, which can hinder economic growth rather than stimulate it during a recession.

Long Form Response

11. **Answer:** A firm's ability to increase output at a greater rate than its inputs demonstrates economies of scale, which occurs when larger production volumes lead to lower costs per unit. For example, if a firm's inputs, such as labor and materials, are tripled, but its output increases to four times the original amount, it showcases how efficiently the firm is using its resources. This means that the firm can spread fixed costs, like rent and machinery, over a larger number of goods, reducing the cost per item. Consequently, the firm benefits from producing more at a lower average cost, which can enhance its competitiveness in the market.

Note: The answer correctly illustrates economies of scale by demonstrating that a firm can reduce its per-unit costs by increasing output at a faster rate than the increase in inputs, using specific examples of input-output ratios to highlight efficiency in resource utilization.

12. **Answer:** Lowering personal income taxes can significantly impact the aggregate demand function in an economy by increasing consumers' disposable income. When individuals pay less in taxes, they have more money to spend on goods and services, which can lead to an increase in consumer spending. This rise in consumption drives demand for products, prompting businesses to produce more and potentially hire additional workers, which further stimulates economic growth. Overall, lower personal income taxes can create a positive feedback loop, where increased spending boosts the economy, leading to more job creation and higher overall economic activity.
- Note:* correct because lowering personal income taxes increases disposable income, which boosts consumer spending and thereby enhances aggregate demand, leading to greater economic growth through increased production and employment.